China’s rapid rise between 1980 and 2008—from Deng Xiaoping’s economic reforms to the Beijing Olympics—was in many ways miraculous. In a single generation, it managed to pull the majority of its people out of poverty, urbanize at an unprecedented scale and rate, and become a world leader in manufacturing, exports, infrastructure, energy consumption, and emissions. But hopes that China would politically liberalize proved unfounded, particularly after the ascendance of Xi Jinping in 2012–2013 and his consolidation of power.

Over the decades, but particularly since the global financial crisis of 2008 and Xi’s ascension to power, the rise of China has generated concern among countries surrounding its periphery. There were several reasons for this. The first is that China retains a particular system of governance in which all political power is exercised by a single party: the Chinese Communist Party. All other political movements are considered illegal. Only a handful of other countries remain nominally one-party states. The level of centralized power in China, particularly given its global reach and influence, contributes to both opacity and uncertainty. This naturally produces greater anxiety in other countries about China as a global power.

A second cause for concern about China is that its economy still operates with close ties to the state. State-owned enterprises (SOEs) benefit from large state subsidies, giving them a competitive edge against private corporations in other global markets. The corporate governance of even nominally private Chinese corporations is often tied—directly or indirectly—to elements of the state. Furthermore, China’s infrastructure spending and capital expenditure is not always driven by demand, resulting in overcapacity, dumping and other market distortions. The country has accumulated large amounts of debt, and its economic performance figures are often politically engineered. [7] And China also had a long record of stealing intellectual property, including through cyber theft, and reverse-engineering. [8] All of this has contributed to economic imbalances and contributed to suppressed growth and unemployment elsewhere.

A third reason is that while China is not alone in having territorial disputes with other countries, it has frequently engaged in territorial